

Group project topic

The Global Findex 2021: Financial Inclusion, Digital Payments, and Resilience in the Age of COVID-19

Financial inclusion is a cornerstone of development, and since 2011, the Global Findex Database has been the definitive source of data on global access to financial services from payments to savings and borrowing. The 2021 edition, based on nationally representative surveys of about 128,000 adults in 123 economies during the COVID-19 pandemic, contains updated indicators on access to and use of formal and informal financial services and digital payments, and offers insights into the behaviours that enable financial resilience. The data also identify gaps in access to and usage of financial services by women and poor adults.

Bank accounts offer people a pathway out of poverty by helping them invest in education and business opportunities. They also make it easier to manage unexpected expenses, like a hospital bill or the loss of a breadwinner, that can push families into hardship.

The problem was that, there was no way to systematically track who had these bank accounts -or how people around the world saved their money, accessed credit and managed financial risks. Researchers and policymakers who needed this information were forced to rely on a patchwork of incompatible household surveys and aggregated central bank data. This changed in 2011, when the World Bank combined its passion and mission with Gallup's expertise in measuring global public opinion to launch what would become the world's most comprehensive dataset on how adults save, borrow, make payments and manage risk- the Global Findex database.

Some helpful resources are:

- The World Bank Group: <https://www.worldbank.org/en/publication/globalindex>
- Some publications based on this data:
<https://www.worldbank.org/en/publication/globalindex/brief/the-global-findex-database-2021-resources#1>

Dataset

We will use the country-level data from 2021. The data and codebook are publicly accessible here and are also available on Learn:

<https://thedocs.worldbank.org/en/doc/6fa0abd1f7f266f7115adae07278eb97-0050062022/global-findex-2021-country-level-data-excel-file>

The data is given in an Excel file, the first sheet includes the country-level data and the second sheet is the codebook describing the variables.

Questions

Study any aspects of the dataset that are interesting to you and set one or more specific questions for your team to answer. Some examples are mentioned here and looking at relevant published papers for inspiration is also very helpful.

Define a concept, for example, Financial Resilience (the ability to deal with an unexpected loss of income or financial emergency), or Financial Inclusion (access to financial services, usage of these services, and barriers preventing access) and choose or make variables to measure them. Then investigate the relevant factors affecting them.

Focus on saving behaviour or borrowing behaviour or digital banking or mobile banking and what elements affect them or how they influence financial inclusion.

If the model you want to apply needs independence of observations, you may want to use the data from only one specific year for all countries. You can also study the trends over time on specific concepts of interest for a country or all of them or financial regions.

You can also use external data at country level for specific years and combine it (according to countries names) with the existing data to answer different questions. Examples of such data could be, GDP per capita, CO2 emission, happiness level, education accessibility for women, human development index (HDI), life expectancy, poverty rate, Gini coefficient, etc. Some sources to find such data are, UN: <https://data.un.org/Default.aspx> and Worldbank: https://data.worldbank.org/?_gl=1*1w8s4l1*_gcl_au*MTQ0MDQ4MzE0LjE3MjQ0MTc5MDk.

Note

This project includes: Data preparation, exploratory analysis, statistical/ML modelling (ex, normal or logistic linear models, classification methods).

The notebook “Findex_getting_started.ipynb” on Learn helps you to get started with reading in the data and preparation.

Depending on your questions of interest, you need to choose the questions/factors/variables/columns from the dataset that you think may be important.

Remember that we have only learnt about a few methods and models in this course so you may not be able to find a model with a good fit that answers your chosen question(s). This is not a problem, and the quality and correctness of your analysis, assessments, and decision-making is important.

Variables

You can find the complete information about the variables and the original questions asked in the data's Codebook and Questionnaire given on Learn.